

The Rise of the Dragon: China in the Capitalist World-System

Zhihu · 2026-09-25

Where exactly does China stand in the world-system — at its centre or on its periphery, a contender for hegemony or the leader of the Global South? On these questions opinions are now legion. So many different views exist because in the age of global capitalism industrialisation is no longer confined to the centre countries. Manufacturing capital in the centre countries has been relocating to the periphery in a systematic way, and combining there with the accumulation drive of local capital, it has produced an industrialisation wave across the whole periphery — the region we call the Global South.

If we judge by industry, China is already the world's centre beyond dispute. But Chinese capital has not yet completed its industrial relocation, and so in the structure of its industry China still differs greatly from the developed countries that have entered the "post-industrial society." Moreover, in per-capita income, social welfare and other respects, China's gap with the developed countries is enormous. To call itself a "developed country" always leaves an uneasy feeling that something does not fit. This contradictory state is precisely the phenomenon of a mature industrial country in the course of becoming a developed country.

More than this, many people entertain grave doubts about whether China can become a developed country, and about whether China and the present developed countries can coexist within the ranks of the developed. After all, the world is only so big: if China is upgraded to developed-country status, then Europe, America, Japan and Korea must necessarily fall to semi-peripheral status. In an earlier article ("Can the World Make Room for a Developed China?") I made a brief analysis from the angle of semi-peripheral population size, and concluded that the world is big enough to hold a developed China. In this article I want to give a brief analysis, from the angle of the periodisation of industrialisation, of the evolution of the world-system's structure across the 60 years from 1995 to 2055, and of China's rise within it. (Note: for a detailed analysis of the three stages of the world-system's evolution and of the contemporary stage of transnational industrial capitalism, see the series "The Rise and Fall of the Capitalist World-System (I): The Three Stages in the Evolution of the Mode of Production of the Capitalist World-System".)

I. The Standard for Periodising Industrialisation

For convenience of analysis I divide the course of industrialisation into 5 stages, taking per-capita steel output and per-capita electricity generation as the two core criteria.

Post-industrial countries: the countries the IMF today classifies as developed, mainly Europe, America, Japan, Korea, Australia, Canada, New Zealand and Israel; steel and electricity no longer serve as the criterion.

Mature industrialised countries: $(\text{the country's annual per-capita electricity generation} / 4000\text{kwh}) + (\text{the country's annual per-capita steel output} / 400\text{kg}) \geq 2$

Countries in the mid-to-late stage of industrialisation: $(\text{the country's annual per-capita electricity generation} / 3000\text{kwh}) + (\text{the country's annual per-capita steel output} / 300\text{kg}) \geq 2$

Countries in the middle stage of industrialisation: $(\text{the country's annual per-capita electricity generation} / 1000\text{kwh}) + (\text{the country's annual per-capita steel output} / 100\text{kg}) \geq 2$

Countries in the early stage of industrialisation: $(\text{the country's annual per-capita electricity generation} / 500\text{kwh}) + (\text{the country's annual per-capita steel output} / 50\text{kg}) \geq 2$

Countries preparing for industrialisation: $(\text{the country's annual per-capita electricity generation} / 500\text{kwh}) + (\text{the country's annual per-capita steel output} / 50\text{kg}) < 2$

Let me briefly explain why this standard is used.

First, steel and electricity generation are combined because industrial development differs from country to country: some may generate a great deal of electricity but produce little steel, or the reverse. For medium-sized industrialised countries, however, the two are on the whole fairly balanced.

Second, the early stage of industrialisation means that the country already has a certain industrial foundation, so that when it begins large-scale industrial expansion it will not run into a currency crisis through excessive imports. Spain in 1960 (495 kWh, 64KG) and China in 1990 (540 kWh, 58 KG) are examples. Here 500 kWh and 50 KG are taken as the minimum standard.

Third, the middle stage of industrialisation means that the country's industrial development has reached the point of self-sustaining development, with no further need to extract surplus from the agricultural sector. Examples are the Soviet Union in 1958 (1136kWh, 267.8KG), when it abolished the obligatory delivery quota system, and China in 2000 (1081kWh, 100KG), when the reform of rural taxes and fees began. Here 1000kWh and 100KG are taken as the minimum standard.

Fourth, the mid-to-late stage of industrialisation mainly means that the swift processes of industrialisation and urbanisation have been basically completed, extensive development has basically ended, the transformation into an industrial society is essentially finished, and the country is entering the stage of a mass-consumption society. For China this corresponds roughly to 2008–

2010. Industrial countries entering this stage begin to see a marked strengthening of their research and development capacity.

Fifth, a mature industrial country is one in which industrialisation has been fully developed, and further advance requires investment in scientific and technological research and industrial upgrading. Examples are Italy in 1990 (3523kWh, 447KG), France in 1980 (4660kWh, 431KG), and China in 2015 (4227kWh, 585KG). Here 4000kWh and 400KG are taken as the minimum standard.

In the analysis that follows we shall see that these criteria help us understand the position of different countries in the capitalist world-system.

II. The Evolution of the World-System from 1995 to 2055

The Starting Point: 1995

From 1997 the IMF began to call the advanced industrial countries "developed countries"; before that they were called industrial countries. The year 1995 may therefore be counted the eve of the formal consolidation of the transnational industrial capitalist world-system.

By our criteria, the configuration of the world-system in 1995 was as follows:



Source: https://github.com/sacanlee/capitalist_world_system_analysis-repo/blob/main/projects/industrial_stage_map/out/world_industrial_stage_map_1995.png

Among the mature industrial countries, if Russia is excluded and Spain and Portugal added, the total population was about 900 million. The countries in the early, middle and mid-to-late stages of industrialisation together held about 2.2 billion people, roughly 2.4 times the former. These two groups — the markets expanding fastest — sustained the sales of the developed countries' products, while the rapid growth of their low- and mid-end manufacturing in turn supplied the developed countries with cheap consumer goods. This was a relatively stable period for the transnational industrial capitalist world-system. Every country embraced free trade.

The Turning Point: 2010

Fifteen years later, China — originally in the semi-periphery — had developed into the world's largest industrial country. A year earlier (2009), Obama proposed the "pivot to Asia," showing that America's strategic establishment had realised that a China entering the mid-to-late stage of industrialisation was beginning to pose a threat to the United States. As we know, the J-20 made its maiden flight in 2011.

The configuration of the world-system in 2010 was as follows:

 Figure 2

Source: https://github.com/sacanlee/capitalist_world_system_analysis-repo/blob/main/projects/industrial_stage_map/out/world_industrial_stage_map_2010.png

At this point the developed countries had a total population of about 1 billion, while the countries in the early, middle and mid-to-late stages of industrialisation together held 3.8 billion — 3.8 times the former. Had China remained at that stage, the whole world-system would in fact have been very stable. Unfortunately, China had high ambitions and wanted to move towards the centre of the world as well. In the early 2010s the Chinese government began to do two things: the Belt and Road Initiative and Made in China 2025. Their purpose was plainly to prepare the conditions for China's further ascent within the world-system. After 2012 China developed into a mature industrial country. In 2018 the United States began its trade war against China.

Conflict: 2025

Fifteen years on again, we arrive at our own time. China has already developed industrial and technological strength at the level of the developed countries, but its industrial export is still under way, producing the so-called marvel of the "full industrial chain." In fact this is no marvel. In the era of national industrial capitalism, capitalist industrial countries almost all had a full industrial chain. It is only in the era of transnational industrial capitalism that, because of the growing complexity of industrial systems and the global division of labour in markets, no country except population giants like China and India can economically sustain a full industrial chain on the strength of its own population.

The configuration of the world-system in 2025 was as follows:

 Figure 3

Source: https://github.com/sacanlee/capitalist_world_system_analysis-repo/blob/main/projects/industrial_stage_map/out/world_industrial_stage_map_v2.png

The developed countries hold 1 billion people and China 1.4 billion, 2.4 billion in all, while the countries in the mid-to-late, middle and early stages of industrialisation together hold 3.2 billion — only 1.3 times the former. The present world-system therefore genuinely cannot accommodate China and the original developed countries coexisting together at the centre. The China–US trade war, the China–Europe trade conflict and the sabre-rattling between China and Japan are all concrete expressions of this contradiction. Historically, such contradictions have almost always been resolved

through war. Yet China, though facing every kind of provocation, has consistently been unwilling to use armed force. Why?

It can only mean that, in the eyes of China's rulers, the present world-system does have room for 2.4 billion people in developed countries. Though the West's nearly 200-year hegemony over the world order is declared at an end, it can still coexist with China at the centre of the world-system. China's large-scale industrial export to Africa and Southeast Asia rests precisely on the hope of reorganising the world order by expanding the industrial population of the periphery.

Reorganisation: 2040

On the basis of some of my earlier observations and analyses (The Industrialization of Sub-Saharan Africa, The Development of Indonesian Capitalism, Q&A: Why Does China Move Its Labor-Intensive Enterprises to Vietnam and India, Rather Than Shifting Low-End Industrial Chains to Pakistan?), the configuration of the world-system in 2040 will most probably be as follows:

Figure 4

Source: https://github.com/sacanlee/capitalist_world_system_analysis-repo/blob/main/projects/industrial_stage_map/out/world_industrial_stage_map_2040.png

By then China will already have become a developed country (see "In the Next 10 Years, Can China Break Through the Threshold of the Developed Countries?"). The centre countries will total 2.4 billion people, while the countries in the mid-to-late, middle and early stages of industrialisation will total about 4.6 billion — twice the former. Although the mature industrialised countries are pressing upwards into the industries of the developed countries, their total population is only 800 million, and since they have neither a common market nor large enterprises of their own, their impact on a developed world of 2.4 billion people will be limited. Africa and South Asia will be industrialising rapidly; India's science and technology, though developing somewhat, will remain modest in overall level, with a small-scale cutting-edge sector. This period of world order should therefore be relatively stable, in some ways similar to the years between 1995 and 2015.

Chaos: 2055

By 2055, Turkey and Russia may be the only two countries after China to enter the ranks of the developed countries (see "Before 2055, Which Other Countries Might Become Developed Countries?"). India and Southeast Asia will have basically completed industrialisation, while Africa will still be in the midst of large-scale industrialisation. The picture is as follows:

Figure 5

By then the developed countries will hold 2.5 billion people, while the countries in the early, middle and mid-to-late stages of industrialisation will total 3.9 billion — about 1.6 times the former. The ratio, though low, will still be higher than in 2025. The problem, however, is that the mature industrialised countries will have a population of 3 billion, more than all the developed countries together, and including India's 1.7 billion. Vietnam, Brazil, Indonesia and others also have ambitions, but limited by population size they will find it hard to cultivate many world-class enterprises. India is different. India's enterprises can rely on their large domestic market alone to sustain continuous research and development.

If India too becomes a developed country, the developed countries will total 4.2 billion people while the countries in the early, middle and mid-to-late stages of industrialisation total 3.9 billion — already fewer than the former. Even if we assume that the industrial upgrading of the other mature industrialised countries is locked shut, that total population would still be 5 billion, only 1.2 times the developed countries' total. More important, global population will peak in the early 2060s. Unlike China in 2025, therefore, India, in order to rise to the centre of the world-system, has no option of increasing the peripheral industrial population through capital export. Apart from war, it has no other way.

But to India's west lies the Middle East Muslim alliance, which will likewise have completed industrialisation; to its east is the core of the developed world, namely China; to its southeast are Vietnam and Indonesia, in the same position as itself; and the East African countries are already in the middle stage of industrialisation (the level China reached between 2000 and 2008), not an agrarian society to be seized at will. In such circumstances, to launch a war to break the deadlock would be no easy matter. Moreover, India is already deeply embedded in global industrial chains and depends heavily on imports for energy and minerals, so a war would be devastating for its economy. Even so, the inner contradictions of capitalism will force the countries at the mature-industrial stage to find a way out of economic stagnation, even at the cost of destruction. Mankind will return once more to the "age of extremes." "The old world is dying and the new world has not yet been born; in this interregnum, monsters appear" — that is Gramsci's description of the world order between the two world wars, and applied to the world after 2055 it fits equally well.

The two world wars resulted in the establishment of the socialist camp, profound social reform in the capitalist industrial countries, and peace in the capitalist world under American leadership. Whether the chaos of 2055 will lead to a worldwide communist revolution, or to the creation of a world government in the true sense together with far-reaching social reform, we cannot yet know.

III. The Secret of China's Rapid Rise

Looking back over the whole course, we see that China completed its industrialisation at extraordinary speed.

The first stage (1990–2000): completing the early stage of industrialisation and entering the middle stage. India began this stage around 2000 and finished only in the early 2020s, taking more than 20 years. China's pace was a full two times faster than India's.

The second stage (2000–2008): completing the development of basic industries — steel, chemicals, durable goods manufacturing — and entering the mid-to-late stage of industrialisation. By comparison, Brazil's per-capita electricity generation in 1980 was 1141 kWh and its per-capita steel output 127KG, yet only in the last two years has Brazil's per-capita electricity generation exceeded 3000 kWh, and its per-capita steel output has never surpassed 200KG. In less than 10 years China surpassed what Brazil achieved in 40. Turkey likewise took about 30 years to complete this course.

The third stage (2008–2011): part of the low-end industry began to relocate abroad and the country began to move towards capital- and technology-intensive production, crossing the so-called "middle-income trap." China completed this process in 3 years, where Malaysia, whose development record is outstanding, took 7.

The fourth stage (2012–2025): completing industrial upgrading, with a large group of leading enterprises rising and delivering a powerful shock to the world order. Russia had already reached the level of a mature industrial country in 2000, when Putin came to power, which is why Putin dared to say, "Give me 20 years and I will give you a strong Russia." But more than 20 years later Russia has not become a developed country; it has even sunk into a war from which it finds it hard to extricate itself. In only 15 years, and under the pressure of the developed countries, China completed the breakthrough from the semi-periphery to the centre — something extremely rare in the history of the capitalist world.

Since the 1990s, the countries of the Global South have all tried to industrialise by integrating into globalisation and bringing in foreign capital, and once they reach the mid-to-late stage of industrialisation they begin to apply a certain industrial policy to develop advanced industry. Why, then, could China rise so fast?

China's course shows that when a country upgrades from mature industrial country to developed country, it is certain to meet every form of suppression from the developed industrial countries. The means of suppression include trade war, technology war, supply-chain war and even hot war. A country must therefore have a broad domestic market, and before joining the global division of labour it must also have completed a certain accumulation of industry and technology under relatively independent conditions.

The course of the Latin American and Southeast Asian countries, in turn, shows that from the early stage of industrialisation to mature industrial country, rapid development comes only by integrating into global industrial chains and making use of one's comparative advantages. In other words, the government must have an industrial policy guided by long-term strategic aims and must carry it through consistently. This requires a strong government, one able to override the various interest groups at home — sometimes damaging the interests of capital, sometimes necessarily damaging the interests of labour.

We can therefore summarise the secret of China's rapid rise as follows.

First, before joining the US-led global production order, the country independently developed heavy industry and military industry, in particular acquiring long-range strike capability and nuclear capability.

Second, it has a large population, so that once deeply embedded in global industrial chains it necessarily monopolises many links of the supply chain. Facing competition from international giants, its enterprises can, under the protection of their own government, operate in the domestic market and gradually grow into globally competitive firms.

Third, it has a big-government-led mixed economy, with material production highly free but finance tightly controlled, a high investment rate maintained, and counter-cyclical measures effectively applied to reduce the impact of fluctuations in international financial markets.

Fourth, political power is highly centralised, which provides the social conditions for maintaining a high rate of exploitation.

The first and second points are the necessary conditions for rising; the third and fourth are the conditions for rising quickly. Looking across the globe, apart from China only India possesses the first two. If Russia can make good use of the Indian market, and Turkey can integrate the Middle East and North Africa, those two countries can also basically attain the first two points.

After China, therefore, only Turkey, Russia and India have a chance of entering the centre of the world. Brazil, Indonesia, Vietnam and others have a certain population size and ambition, but their military industry and domestic market are both inadequate, and in all probability they will remain at the mature-industrial-country stage.

Vietnam, however, may have recognised its own natural shortcomings, and is therefore trying to upgrade by "marrying" transnational corporations — attracting them to build research and development bases locally, to create a "second headquarters." Vietnam's drive to make English the language of education very probably serves the same strategy. Whether they can blaze a new trail, only time will tell.

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